

NORTHSTAR CREDIT MEMORANDUM

Alder Creek Components, Inc.

Approve with conditions

Requested	USD 15,000,000.00	Recommended	USD 15,000,000.00
Obligor grade	2	Facility protection	77.00 / 100
Gross leverage	1.8293x	DSCR	1.7143x

DETAILED CREDIT MEMORANDUM

Data as of: 2026-06-30
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01. Executive Recommendation

Recommendation: Approve with conditions; requested USD 15,000,000.00; supportable USD 15,000,000.00; internal grade 2.

Obligor score 82.71 maps to Grade 2 (Strong).

Recommended exposure is constrained by requested_amount.

Downside debt-service capacity and covenant headroom determine approval conditions.

02. Borrower Overview

Synthetic manufacturer with diversified OEM customers and recurring aftermarket demand.

Industry: Specialty industrial components. Headquarters: Columbus, Ohio.

03. Ownership And Management

Ownership details were not supplied in the synthetic case.

Management assessment is supported by the qualitative evidence record.

04. Business Model

Synthetic manufacturer with diversified OEM customers and recurring aftermarket demand.

05. Industry Risk

Exposure to industrial production cycles

Working-capital needs rise during expansion

New production line carries execution risk

Diversified OEM and aftermarket demand

Positive free cash flow through the cycle

Experienced management team

06. Loan Request

Alder Creek Components, Inc. requests USD 15,000,000.00.

07. Facility Structure

term_loan; fixed rate; 5-year maturity; 5-year amortization.

08. Loan Purpose

Fund a new production line and refinance near-term maturities

09. Sources And Uses

Proposed lender source: USD 15,000,000.00.

Stated use: Fund a new production line and refinance near-term maturities. No additional sources or uses were supplied.

10. Primary Repayment Source

Operating cash flow

11. Secondary Repayment Source

Eligible collateral and enterprise-value support; refinancing is not assumed.

12. Historical Financial Performance

Revenue USD 200,000,000.00; reported EBITDA USD 40,000,000.00; adjusted EBITDA USD 41,000,000.00.

Selected LTM method: reported_ltm; status legacy_snapshot.

13. Financial Adjustments

Reported EBITDA USD 40,000,000.00; approved adjustment USD 1,000,000.00; adjusted EBITDA USD 41,000,000.00.

No adjustment-threshold warning.

14. Capital Structure

Gross debt USD 75,000,000.00; unrestricted cash USD 20,000,000.00; equity USD 80,000,000.00.

15. Debt Maturity Schedule

Instrument-level debt maturity schedule was not supplied.

16. Key Ratios

Gross leverage 1.8293x; interest coverage 6.8333x; DSCR 1.7143x.

17. Obligor Grade

Score 82.71; grade 2; confidence 75/100.

Facility protection is assessed separately and does not alter this obligor grade.

18. Facility Protection

Score 77.00; category adequate; expected recovery high.

Senior claim

Quarterly covenant testing

Financial reporting

Collateral security package

Bullet-style repayment concentration

19. Debt Capacity

Requested USD 15,000,000.00; recommended USD 15,000,000.00.

Binding constraint(s): requested_amount.

20. Base Case

First covenant breach year: none in forecast.

Year 1: revenue USD 208,000,000.00; EBITDA USD 41,600,000.00; DSCR 1.4519x; ending cash USD 23,833,427.05.

Year 2: revenue USD 208,000,000.00; EBITDA USD 41,600,000.00; DSCR 1.4547x; ending cash USD 31,700,636.01.

Year 3: revenue USD 208,000,000.00; EBITDA USD 41,600,000.00; DSCR 1.5044x; ending cash USD 40,138,722.37.

21. Downside Case

First covenant breach year: 1; liquidity exhaustion year none in forecast.

Year 1: revenue USD 184,000,000.00; EBITDA USD 32,200,000.00; DSCR 0.9447x; cash shortfall USD 0.00.

Year 2: revenue USD 184,000,000.00; EBITDA USD 32,200,000.00; DSCR 0.9465x; cash shortfall USD 0.00.

Year 3: revenue USD 184,000,000.00; EBITDA USD 32,200,000.00; DSCR 0.9788x; cash shortfall USD 0.00.

22. Severe Case

First covenant breach year: 1; liquidity exhaustion year 2.

Year 1: ending debt USD 79,443,153.19; ending cash USD 8,111,827.05; refinancing need USD 0.00; unpaid debt service USD 0.00.

Year 2: ending debt USD 76,106,929.44; ending cash USD 8,000,000.00; refinancing need USD 0.00; unpaid debt service USD 0.00.

Year 3: ending debt USD 66,373,466.17; ending cash USD 2,013,720.90; refinancing need USD 0.00; unpaid debt service USD 0.00.

23. Reverse Stress

Revenue decline: 10.46; iterations 12; residual 0.0000; Revenue decline causing first-year DSCR to reach the active minimum; every trial reruns the full forecast..

EBITDA margin decline: no converged result; iterations 0; residual not available; The forecast metric is not numerically meaningful at a solver bound..

Interest-rate shock: no converged result; iterations 0; residual 4.1378; The configured bounds do not bracket a policy breach..

Working-capital use as a share of revenue: 37.50; iterations 1; residual -18886223056.0000; Incremental working-capital use causing minimum operating liquidity to be exhausted..

Maximum proposed loan passing downside policy: USD 0.00; iterations 0; residual -0.0529; Maximum proposed loan that preserves downside leverage, DSCR, and minimum-liquidity policy..

Maximum proposed loan passing severe liquidity: USD 12,500,000.00; iterations 1; residual 0.0000; Maximum proposed loan that preserves minimum operating cash in the severe forecast..

24. Collateral Or Borrowing Base

Borrowing-base status: not_applicable; amount not applicable.

Illustrative borrowing-base policy; not applicable to this facility type.

25. Indicative Pricing

Reference base rate 0.0400; risk-grade spread 200 bps; indicative all-in rate 0.0675.

Educational indicative pricing only. This is not a live market quote, bank commitment, or lending recommendation.

26. Covenants

Maximum total leverage: 1.9097 versus 3.50; pass; quarterly.

Minimum DSCR: 1.4519 versus 1.25; pass; quarterly.

Maximum total leverage: 1.6356 versus 3.50; pass; quarterly.

Minimum DSCR: 1.4547 versus 1.25; pass; quarterly.

Maximum total leverage: 1.3530 versus 3.50; pass; quarterly.

Minimum DSCR: 1.5044 versus 1.25; pass; quarterly.

Maximum total leverage: 2.4672 versus 3.50; pass; quarterly.

Minimum DSCR: 0.9447 versus 1.25; breach; quarterly.

Maximum total leverage: 2.1131 versus 3.50; pass; quarterly.

Minimum DSCR: 0.9465 versus 1.25; breach; quarterly.

Maximum total leverage: 1.7480 versus 3.50; pass; quarterly.

Minimum DSCR: 0.9788 versus 1.25; breach; quarterly.

Maximum total leverage: 3.3408 versus 3.50; pass; quarterly.

Minimum DSCR: 0.5449 versus 1.25; breach; quarterly.

Maximum total leverage: 3.2005 versus 3.50; pass; quarterly.

Minimum DSCR: 0.5360 versus 1.25; breach; quarterly.

Maximum total leverage: 2.7911 versus 3.50; pass; quarterly.

Minimum DSCR: 0.5439 versus 1.25; breach; quarterly.

Minimum unrestricted liquidity: USD 2,013,720.90 versus USD 8,000,000.00; breach; quarterly.

Quarterly financial reporting: Required versus Within 45 days; pass; quarterly.

Restricted distributions: Proposed restriction versus No distributions while a default or covenant breach exists; pass; quarterly.

Capital expenditure control: USD 10,000,000.00 versus Annual budget; lender consent above 120%; pass; quarterly.

27. Policy Exceptions

None identified.

28. Conditions Precedent

Maximum total leverage tested quarterly with threshold set from policy and forecast headroom.

Minimum DSCR tested quarterly with cure or waiver subject to lender approval.

Quarterly financial reporting within 45 days.

Monthly liquidity reporting until downside headroom is restored.

Perfect and maintain the proposed collateral security interest.

29. Monitoring

Quarterly financial statements

Annual covenant compliance certificate

Prompt notice of material adverse events

30. Data Limitations

Synthetic demonstration inputs

Existing debt is supplied as aggregates, not instruments

Legacy single-period snapshot; add at least three historical fiscal years for trend analysis.

Synthetic demonstration - not a real data-quality assessment.

Educational and illustrative only; not lending, investment, accounting, or legal advice.

31. Analyst Sign Off

Prepared by: _____

Data as of: 2026-06-30.

32. Reviewer Sign Off

Reviewed by: _____

Model 0.1.0; policy 1.0.0; calculation 2026-08-06T17:34:59.125351+00:00.